

EDA On Application Data

Key Insights from Categorical Features vs TARGET (Defaulters %)

Employment Status:

- **Unemployed (36%)** show the **highest default rate** among all categories.
- **Businessman (0%)** and **Students (0%)** have the **lowest risk** of default.

Education Level:

- Clients with **Lower Secondary Education (11%)** have a **higher chance of default**.
- Those with an **Academic Degree (2%)** are the most reliable.

Gender:

- **Males (10%)** default more than **Females (7%)**.

Loan Type:

- **Cash Loans (8%)** have a higher default rate than **Revolving Loans (5%)**.

Housing Type:

- People living **Rented (12%)** or **With Parents (12%)** show higher defaults.
- **House/Apartment owners (8%)** are more stable borrowers.

Family Status:

- **Single or Civil Marriage clients (10%)** have higher default rates than **Married (8%)**.

Occupation Type:

- **Low-skill Laborers (17%)** show the **highest default** among occupations.
- **Accountants (5%)** and **High-skill tech staff (6%)** are more creditworthy.

General Observation:

- Most categorical groups cluster around **7–9% default rate**.
- Employment, Education, income type, and housing situation are the **strongest predictors** of loan default likelihood.

Crosstabulation of Categorical Features vs. TARGET (Defaulter %)

